



March 17, 2025

Senator Ricky Hill, Chair
Senate Committee on Transportation,
Technology, and Legislative Affairs
State Capitol Building
500 Woodlane Street, Suite 320
Little Rock, Arkansas 72201

Senator Jonathan Dismang, Vice-Chair
Senate Committee on Transportation,
Technology, and Legislative Affairs
State Capitol Building
500 Woodlane Street, Suite 320
Little Rock, Arkansas 72201

Senator Clint Penzo
State Capitol Building
500 Woodlane Street, Suite 320
Little Rock, Arkansas 72201

Representative Stephen Meeks
State Capitol Building
500 Woodlane St., Suite 350
Little Rock, Arkansas 72201

RE: Letter in Opposition to Arkansas SB 258

Dear Chair Hill, Vice-Chair Dismang, Senator Penzo, and Representative Meeks:

On behalf of the advertising industry, we write to oppose Arkansas SB 258.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. Our organizations support meaningful privacy protections for Arkansas residents. However, as described in more detail below, the bill contains provisions that are out-of-step with privacy laws in other states and will only add to the increasingly complex privacy landscape for both businesses and consumers across the country. We ask you to harmonize SB 258 with other state privacy laws, like those in Tennessee and Texas. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate Committee on Transportation, Technology, and Legislative Affairs (“Committee”) and to consider updates to enhance the bill to bring it in line with the majority of states that have passed privacy legislation.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over 40,000 jobs in Arkansas are related to the ad-subsidized Internet.³ We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues with SB 258 outlined here.

¹ Arkansas SB 258 (95th Gen. Assemb., 2025 Reg. Sess.), located [here](#) (hereinafter, “SB 258”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 121.

I. SB 258 Should Be Harmonized with Existing State Privacy Laws

Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. Below we provide a non-exhaustive list of ways SB 258 deviates from the dominant approach to privacy across the states:

- SB 258 would include a lawful basis of processing requirement, which emulates an E.U. data privacy standard and is reflected in no U.S. state privacy law.
- SB 258 would include an ineffective nonprofit exemption and would place onerous requirements on small businesses.
- SB 258's definition of "sensitive data" includes "personal and political affiliation" information, data no other state considers sensitive.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁴ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁵ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.⁶ Harmonization with existing privacy laws is essential to create an environment where consumers in Arkansas have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Arkansas should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

⁴ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

⁵ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

⁶ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. SB 258's Proposed Lawful Basis of Processing Requirement Would Severely Hinder Routine Data Processing that Benefits Consumers and Businesses

If enacted, SB 258 would require persons subject to its terms, including small businesses, to have a “lawful basis of processing” before processing “personal information” of a state resident.⁷ Such lawful bases of processing would include processing pursuant to consumer consent, processing pursuant to a contract that requires processing of personal data, processing pursuant to a legal obligation, or processing for the limited purpose of protecting a person’s vital interests.⁸ The bill would appear to simultaneously allow other data practices, such as targeted advertising and sales of personal data, subject to a consumer’s opt out choice.⁹ The bill would consequently create a confusing framework by permitting some defined data practices subject to a consumer’s opt out choice, but may prohibit those very same practices unless they fit within one of the “lawful bases” of processing in the bill. This proposed approach is unclear and would severely deviate from all other state privacy laws, which generally permit the processing of personal data subject to consumer opt out rights for targeted advertising, sales, and profiling in furtherance of decisions that result in legal or similarly significant effects concerning a consumer.¹⁰

SB 258’s lawful basis of processing requirements would unreasonably restrain access to third-party data. Access to third-party data helps businesses of all sizes find new customers for and grow. In particular, small and start-up businesses rely on access to third-party data to compete in the marketplace and reach individuals who may not know about their new or niche offerings. Third-party data enables smaller entities to reach potential customers with their advertising messages efficiently and at scale. Third-party data also allows businesses to root out fraud and verify consumer identities. These services are particularly important to protect vulnerable communities, such as the elderly. The bill’s lawful basis of processing requirements could threaten businesses’ ability to use third-party data to detect identity theft and prevent fraudulent activities and purchases.

The bill’s lawful basis of processing requirements could also restrict controllers from conducting even the most routine and beneficial data processing activities that consumers derive significant value from on a daily basis, such as processing to improve or develop new and innovative products and services or processing to contact consumers with relevant advertising and messaging. The proposed term would also likely result in inundating Arkansas consumers with a flood of requests for consent to process personal data. This approach to privacy is reflected in no other U.S. state and instead adopts a facet of the E.U.’s General Data Protection Regulation (GDPR), which has resulted in significant operational challenges for businesses and consent fatigue for consumers.¹¹ Arkansas should not adopt a European approach to privacy and should instead remove the “lawful basis of processing” requirements from SB 258.

⁷ SB 258 at Sec. 4-120-302(b).

⁸ *Id.*

⁹ *Id.* at Sec. 4-120-201(b)(5).

¹⁰ See, e.g. Tenn. Code Ann. § 47-18-3203(e); Tex. Bus. & Com. Code Ann. § 541-051(b)(5).

¹¹ See, e.g., Kate Fazzini, CNBC, *Europe’s sweeping privacy rule was supposed to change the internet, but so far it’s mostly created frustration for users, companies, and regulators* (May 5, 2019).

III. SB 258 Would Provide an Ineffective Nonprofit Exemption and Place Onerous Requirements on Small Businesses

As drafted, SB 258 would apply to nonprofit organizations whose annual receipts in any of the preceding five years exceeded fifteen million dollars.¹² The bill would also flatly prohibit nonprofits *and small businesses* from engaging in the sale of personal data without receiving prior consent from the consumer.¹³ These terms would significantly hinder nonprofits in their ability to carry out their charitable missions and small businesses in their ability to find new and prospective customers to grow their businesses. The proposed application of SB 258 to nonprofit organizations and small businesses deviates from most other state privacy laws that provide unqualified exemptions for all nonprofit organizations and maintain thresholds for applicability that help to limit the laws' impact on small businesses.

The proposed bill would create significant confusion and new requirements for many nonprofit organizations and small businesses, posing substantial compliance challenges for nonprofits that operate in multiple jurisdictions and small businesses that are working to grow. Nonprofit organizations often depend on personal data to fulfill their missions, such as managing donor and volunteer information and serving nonprofit members or program participants. The task of implementing new privacy law requirements can divert critical resources away from nonprofits' primary missions and towards compliance efforts, particularly affecting smaller nonprofits with limited capacity. In addition, small businesses depend on personal data to reach new and potential customers with messaging about their offerings. The requirement to obtain consent before processing personal data would severely hinder their ability to reach out to customers that may not yet know of their offerings, thereby cutting off small businesses from the ability to compete with larger market players and grow. Arkansas should not adopt an approach to privacy that hinders the beneficial activities of nonprofits and the economy-enhancing practices of small businesses.

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¹² *Id.* at Sec. 4-120-104(b).

¹³ *Id.* at Sec. 4-120-107.

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that SB 258, as drafted, would impose particularly onerous requirements that would unreasonably restrict the free flow of information that powers the economy and Arkansas residents' access to products and services. We therefore respectfully ask the Committee to decline to advance SB 258 as proposed and instead work to align the bill with existing privacy laws across the states. We would welcome the opportunity to engage further and work with you to craft a workable privacy framework that benefits Arkansas businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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